

Justification Review Document
for Other than Full and Open Competition
Federal Acquisition Regulation (FAR) Part 6

Program/Equipment: Aviation and Missile Command (AMCOM) Logistics Center (ALC) requirement to overhaul/upgrade the Common Hydro Mechanical Unit (CHMU) for the UH60/AH64.

Authority: Title 10 United States Code 3204(a)(5), as implemented by 6.302-5(a)(2)(i) of the Federal Acquisition Regulation (FAR), "Authorized or required by statute."

Amount: [REDACTED]

Prepared by:

Typed Name: [REDACTED]

Phone: [REDACTED]

Title: Acquisition Specialist

Date: [REDACTED]

E-mail: [REDACTED]

Contracting Officer:

Typed Name: [REDACTED]

Phone: [REDACTED]

Title: Contracting Officer

Date: [REDACTED]

E-mail: [REDACTED]

Technical/Requirements Representative:

Typed Name: [REDACTED]

Phone: [REDACTED]

Title: Lead Inventory Management Specialist

Date: [REDACTED]

E-mail: [REDACTED]

[REDACTED]

Reviews

I have reviewed this justification and find it adequate to support other than full and open competition.

Program Manager:

Typed Name: [REDACTED] DSN: _____
Signature: [REDACTED] Date: _____

Legal Counsel:

Typed Name: [REDACTED] DSN: _____
Signature: [REDACTED] Date: [REDACTED] _____

Alternate Command Advocate for Competition:

Typed Name: [REDACTED] DSN: _____
Signature: [REDACTED] Date: [REDACTED] _____

**Justification and Approval
for Other than Full and Open Competition – FAR Part 6**

1. **Contracting Activity:** Army Contracting Command – Redstone Arsenal (ACC-RSA), ATTN: CCAM-ALB, Redstone Arsenal, AL 35898-5000.

2. **Description of Action:** The Aviation and Missile Command (AMCOM) Logistics Center (ALC) requests approval to award a new, sole source procurement for overhaul/upgrade of the Common Hydro Mechanical Unit (CHMU) for the T700 engine on the UH60/AH64 aircraft. The resulting contract will be a single-award Firm-Fixed-Price (FFP), five-year Indefinite Delivery Indefinite Quantity (IDIQ) Maintenance and Overhaul (M&O) contract. The following contractor is identified as the only source approved by the U.S. Army Combat Capabilities Development Command, Aviation and Missile Center Systems Readiness Directorate (SRD) to perform overhaul/upgrade on this Critical Safety Item (CSI):

Woodward, Inc., CAGE Code [REDACTED]; UEI: [REDACTED]; 5001 N 2nd Street, Loves Park, IL 61111; Large Business

The minimum quantity is [REDACTED], with a maximum quantity of [REDACTED] which includes a quantity of [REDACTED] for Foreign Military Sales (FMS). United States (US) quantities will utilize Army Working Capital Funds. FMS quantities will utilize FMS funding, but this requirement is not source directed. The potential FMS customers include Egypt, Bahrain, Korea, Netherlands, Kuwait, and Greece. At this time, the applicable FMS Case numbers are unknown.

3. **Description of Supplies/Services:** ALC has a requirement to provide overhaul/upgrade of the CHMU to return the items to a serviceable condition. The contractor shall furnish all services, facilities, labor, parts, materials, equipment, tools, and data necessary to complete the inspection and overhaul/upgrade. The following information is provided for the CHMU:

PRID: T305-01

PRON: AX6M3520AX

System: UH60/AH64

Noun: Common Hydro Mechanical Unit (CHMU)

Input NSNs: 2915-01-492-3907, 2915-01-515-3572, and 2915-01-587-7242

Output NSN: 2915-01-587-7242

Input P/Ns: 4046T52G37, 4046T52G41, and 4046T52G42

Output P/N: 4046T52G42

Critical Safety Item (CSI): Yes

Estimated Quantity Range: [REDACTED] Minimum / [REDACTED] Maximum (includes [REDACTED] FMS)

Estimated Base Year Quantity Value: [REDACTED]

Estimated Out-Years (two-five) Value: [REDACTED]

Total Estimated Dollars: [REDACTED]
 Contract Type: 5-year IDIQ

The estimated US requirement quantity is [REDACTED] for the base year at an estimated value of [REDACTED], and the estimated value of the out-years (two thru five), including FMS requirements, is [REDACTED]. The proposed procurement's total estimated value, including FMS dollars, is [REDACTED]. This calculation is based on utilizing the Maintenance Expenditure Limit (MEL) of [REDACTED] each, multiplied by the maximum quantity of [REDACTED]. The MEL can be found in the Independent Government Estimate (IGE) and is 65 percent of the Replacement Cost. The Current Replacement Cost is [REDACTED] and 65 percent of the Replacement Cost is [REDACTED]. This total includes a combined quantity of [REDACTED] FMS requirements. The FMS requirements are not source directed. This contract will expire five years after contract award.

The United States (US) and FMS requirements are as follows:

US	Quantity	Unit Price	Total Price
Base Year	[REDACTED]	[REDACTED]	[REDACTED]
Year 2	[REDACTED]	[REDACTED]	[REDACTED]
Year 3	[REDACTED]	[REDACTED]	[REDACTED]
Year 4	[REDACTED]	[REDACTED]	[REDACTED]
Year 5	[REDACTED]	[REDACTED]	[REDACTED]
TOTAL	[REDACTED]	[REDACTED]	[REDACTED]

FMS	Quantity	Unit Price	Total Price
Base Year	[REDACTED]	[REDACTED]	[REDACTED]
Year 2	[REDACTED]	[REDACTED]	[REDACTED]
Year 3	[REDACTED]	[REDACTED]	[REDACTED]
Year 4	[REDACTED]	[REDACTED]	[REDACTED]
Year 5	[REDACTED]	[REDACTED]	[REDACTED]
TOTAL	[REDACTED]	[REDACTED]	[REDACTED]

4. Authority Cited: Title 10 United States Code 3204(a)(5), as implemented by 6.302-5(a)(2)(i) of the Federal Acquisition Regulation (FAR), "Authorized or required by statute". The applicable statute is Public Law No. 108-136, National Defense Authorization Act (NDAA) Fiscal Year 2004, Section 802, Quality Control Procurement of Aviation Critical Safety Items and Related services, as implemented by Defense Federal Acquisition Regulation Supplement (DFARS) 209.270-3(a).

5. Reason for Authority Cited: The proposed acquisition requires the use of the cited statutory authority because the CHMU is an aviation CSI as defined by DFARS 209.270-2. Although DMWR 1-2915-361 & P revision date 04/15/2015 is adequate for overhaul/upgrade of the CHMU, the overhaul/upgrade can only be performed by a source approved by the SRD because it is an aviation CSI. The CSI classification

indicates that a malfunction of the CHMU could lead to catastrophic or critical failures, potentially resulting in the loss or severe damage to the aircraft or weapon system, an unacceptable risk of personal injury or loss of life, or an inadvertent engine shutdown that endangers safety.

Pursuant to the provisions of Public Law No. 108-136, National Defense Authorization Act Fiscal Year 2004, Section 802, Quality Control in Procurement of Aviation Critical Safety Items and Related Services, as implemented by DFARS 209.270-3(A), contracts for modification, repair, or overhaul/upgrade of CSIs can only be awarded to a source approved by SRD, which is the Army's aviation design control activity.

The only approved source to overhaul/upgrade the CHMU is Woodward, Inc. (). If the CHMU in a UH60/AH64 is not overhauled/upgraded correctly, it could lead to critical issues such as hydraulic system failure, uncommanded engine shutdowns, and reduced engine performance. These failures may result in the loss of control, compromised redundancy, and uncontrolled flight, significantly increasing the risk of a catastrophic event, including a crash. The safety of the crew and passengers would be jeopardized, potentially leading to severe injury or loss of life. Proper overhaul/upgrade of the CHMU is crucial to maintaining the helicopter's safety and operational reliability.

6. Efforts to Obtain Competition: In accordance with DFARS 205.205- 71, DFARS 206.302-1(d), and DFARS Procedures, Guidance, and Information (PGI) 206.302-1 (d), a Sources Sought announcement was publicized on SAM.gov on 10 October 2024 and ended on 25 October 2024. As of 12 November 2024, no sources expressed interest in this acquisition. This acquisition will be synopsized in SAM.gov on or about 1 January 2025. All notices required by FAR 5.201 will be published and any proposals received will be considered.

Effective Competition: As stated previously in paragraph five (5), Woodward, Inc. is the only SRD approved contractor for the overhaul/upgrade of this part; therefore, effective competition is not anticipated.

Subcontracting Competition: In accordance with FAR 19.702 and FAR 19.704, a Subcontracting Plan is required for large businesses on acquisitions that exceed \$750K. According to FAR 19.704, the contractor must include FAR 52.219-8, entitled "Utilization of Small Business Concerns", in all subcontracts that offer further subcontracting opportunities and shall require all subcontractors, except small businesses, that receive subcontracts more than \$750K to adopt a plan that complies with the requirements of the clause at FAR 52.219-9, "Small Business Subcontracting Plan". Per FAR 44.204(c), the solicitation and resulting contract will include the FAR clause 52.244-5, entitled "Competition in Subcontracting" and DFARS clause 252.219-7003, entitled "Small Business Subcontracting Plan (DoD Contracts)" to ensure that all subcontracts are awarded on a competitive basis to the maximum extent possible.

7. Actions to Increase Competition: As stated previously in paragraph five (5), Woodward, Inc. is the only SRD approved contractor for the overhaul/upgrade of this part. The Government can take no other additional actions to increase the number of approved sources for this current procurement. If a new vendor is approved through the SRD process, the requirements for future orders will be reviewed.

8. Market research Report/Commerciality Determination Report (MRR/CD): In accordance with FAR 10.002(b) and DFARS 210.001, meaningful market research for AX6M3520AX was conducted by the Inventory Management Specialist, AMCOM Logistics Center, in the last 12 months (with specific dates for each step listed below). Research methods included the following: (a) Reviewed the results of recent market research for similar or identical supplies/services during October 2024; (b) Publication of a formal request for information in the form of a sources sought notice issued to SAM.gov on 10 October 2024; (c) Review of Government and/or commercial databases for relevant information during August 2024: Army Aviation Sustainment Gateway (ARISE), Logistics Modernization Program (LMP), Federal Logistics Information System Web Search (WebFLIS), and Commercial and Government Entity (CAGE).

The source revealed from a search of those databases is Woodward, Inc. as the only approved source authorized to perform the required overhaul/upgrade. As previously noted, the sources notice was published on 10 October 2024 and closed on 25 October 2024. No sources expressed interest in response to the sources sought. Based upon this market research, it has been determined that the Government's needs can be satisfied with commercial products or services, commercial products or services with customary or reasonable modification, or non-developmental products or services. Based on the above, the basic clauses and provisions prescribed in FAR Part 12, Acquisition of Commercial Products and Commercial Services, are sufficient for use in this acquisition and will be utilized. As determined by the market research, the only source who is capable of the performing the required overhaul/upgrade is Woodward, Inc.

9. Interested Sources: The results of the Sources Sought announcement are addressed in paragraph six (6) of this document. There is a reasonable basis to conclude at this time, that the agency's minimum needs can only be satisfied by Woodward, Inc. To date, no other sources have written to express an interest.

10. Other Facts:

a. Procurement history:

(1) The CHMU has been overhauled and upgraded by Woodward, Inc.

NIIN	Date	Contract No/PIID	QTY	Unit Price	Total Value	Company
015877242	8/16/2024	W58RGZ24F0405				WOODWARD, INC.

015877242	8/13/2024	W58RGZ24F0395	■	■	■	WOODWARD, INC.
015877242	3/14/2024	W58RGZ24F0248	■	■	■	WOODWARD, INC.
015877242	3/14/2024	W58RGZ24F0248	■	■	■	WOODWARD, INC.
015877242	3/14/2024	W58RGZ24F0248	■	■	■	WOODWARD, INC.
015877242	1/26/2023	W58RGZ23F0150	■	■	■	WOODWARD, INC.
015877242	1/26/2023	W58RGZ23F0150	■	■	■	WOODWARD, INC.
015877242	1/26/2023	W58RGZ23F0150	■	■	■	WOODWARD, INC.
015877242	1/26/2023	W58RGZ23F0150	■	■	■	WOODWARD, INC.
015877242	7/27/2022	W58RGZ22F0350	■	■	■	WOODWARD, INC.
015877242	7/27/2022	W58RGZ22F0350	■	■	■	WOODWARD, INC.
015877242	7/27/2022	W58RGZ22F0350	■	■	■	WOODWARD, INC.
015877242	7/27/2022	W58RGZ22F0350	■	■	■	WOODWARD, INC.
015877242	8/25/2020	W58RGZ20F0544	■	■	■	WOODWARD, INC.
015877242	8/25/2020	W58RGZ20F0544	■	■	■	WOODWARD, INC.
015877242	8/25/2020	W58RGZ20F0544	■	■	■	WOODWARD, INC.
015877242	8/25/2020	W58RGZ20F0544	■	■	■	WOODWARD, INC.
015877242	8/25/2020	W58RGZ20F0544	■	■	■	WOODWARD, INC.
015877242	12/5/2019	W58RGZ20F0161	■	■	■	WOODWARD, INC.
015877242	12/5/2019	W58RGZ20F0161	■	■	■	WOODWARD, INC.
015877242	12/5/2019	W58RGZ20F0161	■	■	■	WOODWARD, INC.
015877242	12/5/2019	W58RGZ20F0161	■	■	■	WOODWARD, INC.
015877242	08/02/2018	W58RGZ14D0148	■	■	■	WOODWARD, INC.
015877242	08/02/2018	W58RGZ14D0148	■	■	■	WOODWARD, INC.
015877242	08/02/2018	W58RGZ14D0148	■	■	■	WOODWARD, INC.
015877242	09/29/2016	W58RGZ14D0148	■	■	■	WOODWARD, INC.
015877242	09/29/2016	W58RGZ14D0148	■	■	■	WOODWARD, INC.
015877242	09/29/2016	W58RGZ14D0148	■	■	■	WOODWARD, INC.
015877242	09/29/2016	W58RGZ14D0148	■	■	■	WOODWARD, INC.
015877242	09/29/2016	W58RGZ14D0148	■	■	■	WOODWARD, INC.
015877242	04/08/2016	W58RGZ14D0148	■	■	■	WOODWARD, INC.
015877242	04/08/2016	W58RGZ14D0148	■	■	■	WOODWARD, INC.
015877242	04/08/2016	W58RGZ14D0148	■	■	■	WOODWARD, INC.
015877242	04/08/2016	W58RGZ14D0148	■	■	■	WOODWARD, INC.
015877242	04/08/2016	W58RGZ14D0148	■	■	■	WOODWARD, INC.
015877242	12/09/2015	W58RGZ14D0148	■	■	■	WOODWARD, INC.
015877242	09/29/2014	W58RGZ14D0148	■	■	■	WOODWARD, INC.
015877242	09/29/2014	W58RGZ14D0148	■	■	■	WOODWARD, INC.
015877242	09/29/2014	W58RGZ14D0148	■	■	■	WOODWARD, INC.

015877242	09/29/2014	W58RGZ14D0148				WOODWARD, INC.
015877242	09/29/2014	W58RGZ14D0148				WOODWARD, INC.

(2) The above acquisitions were Sole Source acquisitions.

(3) The Authority cited for the above procurement history is Title 10 United States Code (U.S.C.) Section 3204(a)(1) as implemented by paragraph 6.302-1(a)(2) of the FAR entitled, "Only one or a limited number of responsible sources and no other supplies or services will satisfy agency requirements."

(4) Summary of Actions to Increase Competition (paragraph 7) of the previous J&A: The CHMU is a CSI, as defined by DFARS 209.270-2. As such, the overhaul/upgrade can only be performed by an approved source. Information was provided to direct vendors to the established source approval processes and forms. To date, no additional sources have been approved by SRD.

(5) No prior contracts were competed using full and open competition.

(6) No unusual patterns have been revealed by the history of this action.

(7) There have been no changes since the previous procurement.

a. Other Facts: There are no other facts to present that have not been previously stated.

11. Technical/Requirements Certification: I certify that the supporting data under my cognizance, which are included in the J&A, are accurate and complete to the best of my knowledge and belief.

Signature: [REDACTED]

Date: [REDACTED]

Typed Name: [REDACTED]

Title: Lead Inventory Management Specialist

12. Fair and Reasonable Cost Determination: I hereby determine that the anticipated cost to the Government for this contract action will be fair and reasonable. The basis for the fair and reasonable determination will be analysis techniques. The determination of fair and reasonable cost will comply with the policies, regulations, and procedures in FAR Part 15, "Contracting by Negotiation." Analysis techniques will include cost/price analysis, use of Independent Government Estimates, and comparison to prices historically paid for the required items. In accordance with FAR 15.403, certified cost or pricing data will not be required for this acquisition, as [REDACTED] is commercial.

Signature: [REDACTED]

Date: [REDACTED]

Typed Name: [REDACTED]

Title: Contracting Officer

13. Contracting Officer Certification: I certify that this justification is accurate and complete to the best of my knowledge and belief.

Signature: [REDACTED]

Date: [REDACTED]

Typed Name: Lindy Pinchon

Title: Contracting Officer

APPROVAL

Based on the foregoing justification, I hereby approve the procurement to overhaul/upgrade the Common Hydro Mechanical Unit (CHMU) on the UH60/AH64 at a total dollar value of [REDACTED] on an other than full and open competition basis pursuant to the authority of 10 United States Code 3204(a)(5) as implemented by FAR 6.302-5(a)(2)(i), authorized or required by statute, subject to availability of funds, and provided that the procurement and property herein described have otherwise been authorized for acquisition.

DATE: _____

Signature: _____

[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]